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***Strategic Responses for Domestic and Multinational Firms to
the Divergent Effects of Right- and Left-Wing Populism on
Corporate ESG Performance in Europe, 2010-2024***

Master's Thesis

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ABSTRACT

This study investigates the impact of populist governments on the environmental, social, and governance (ESG) performance of publicly listed domestic firms and multinational enterprises (MNEs) in Europe between 2010 and 2024. While ESG has become a global benchmark for sustainable corporate behaviour, populist governments are expected to undermine its core principles, such as long-term orientation, pluralism, inclusivity, and resilience. Building on the theoretical frameworks of corporate responsibility, institutional theory, and stakeholder theory, this study applies panel regression analyses using firm-level ESG scores retrieved from LSEG Refinitiv and populism indicators from Timbro combined with ThePopuList databases. The findings reveal a significant negative effect of right-wing populism in home-country governments on corporate ESG performance. In contrast, left-wing populism is associated with a positive effect. Both types of populism primarily demonstrate effects on the disaggregated environmental and social pillars. Notably, MNEs experience a moderated effect, where the negative impact of right-wing populism is weakened, and the positive effect of left-wing populism is amplified. The literature and results suggest that international exposure enhances firms' resilience to home-country institutional pressures through universal ESG standards. Robustness checks across ESG leaders, pre- and post-Paris Agreement periods, and industry sensitivities confirm the stability of the findings. By decomposing populism by ideology, disaggregating ESG into its pillars and examining the moderated effect for MNEs, this study contributes to a more nuanced understanding of how political contexts shape corporate sustainability in International Business (IB). The study

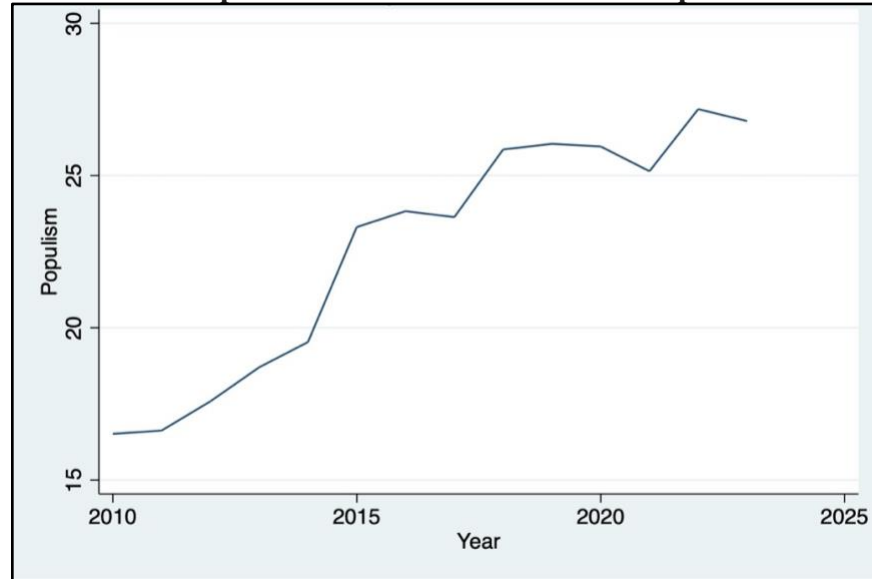
highlights populism as a structural challenge to corporate ESG performance, calling for strategic responses among firms operating in populist environments.

INTRODUCTION

Integrating environmental, social, and governance (ESG) into a firm's core strategy is now as crucial as generating profit. Yet, the rise of populism risks relegating ESG to the outer edge. Over the past decades, many have moved beyond the narrow profit-maximisation view (Friedman, 1970) towards the insight that profits and externalities are inseparable (Hart & Zingales, 2017), placing firms at the centre of society's sustainability agenda. This shift reflects the principles of the stakeholder theory, which argues that firms should generate value for all stakeholders affected by corporate activities, including employees, communities, and the environment, and not only for shareholders (Freeman, 1984). Corporate sustainability has therefore moved from the outside layer to the core of corporate strategy, displacing purely profit-focused objectives. Achieving higher ESG performance is now essential for firms to secure legitimacy, attract investment, and maintain competitive advantage (Hart & Zingales, 2017; El Ghouli, 2016; Rau & Yu, 2023). Corporate ESG performance, compiled by rating agencies such as MSCI and LSEG Refinitiv, have become the global measure by which stakeholders compare corporate sustainability efforts. Research shows that adopting ESG strategies can significantly enhance firm reputation, financial stability and lowering costs, especially during periods of external shocks or crises (El Ghouli, 2016; Lins et al., 2017; Albuquerque et al., 2020; Gianfrate et al., 2024). This transformation in corporate priorities can also be understood through the lens of institutional theory, which suggests that firms operate within an environment of formal and informal rules, norms and expectations that shape their behaviour (DiMaggio & Powell, 1983). This is particularly important for multinational enterprises (MNEs), which operate across diverse institutional environments and are therefore compelled to adopt universal corporate ESG strategies.

Despite this, limited attention has been directed towards how external political factors, specifically the rise of populism, impact firms' ESG performance. This gap is important, considering the political shifts observed across Europe and the growing popularity of populist ideologies (see Figure 1), which actively challenge existing institutional frameworks and sustainability standards of firms (Mudde, 2004; Hartwell & Devinney, 2023).

FIGURE 1
Populism Vote Share Trend in Europe



Populism separates society into ‘the pure people’ and ‘corrupt elites’ (Mudde, 2004). Corporate sustainability research suggests that populism can directly threaten ESG principles by undermining long-term sustainability objectives and pluralistic stakeholder engagement (Hartwell & Devinney, 2023; Böhmelt, 2021). Populist rhetoric often frames sustainability initiatives as elitist, positioning them against the perceived interests of the broader stakeholders that directly puts pressures on the ESG pillars. For example, US President Trump puts pressure on the social pillar by actively undermining the rights of minority groups, such as immigrants and LGBTQ+ communities. Likewise, Meta's decision to remove ‘fact-checking’ features from its platforms shortly after former Trump's inauguration, demonstrates how populist governmental pressures can directly conflict with ESG principles, specifically the social pillar in this example. Another case is Venezuela’s state oil company PDVSA, which was forced under Hugo Chávez to divert corporate social responsibility (CSR) budgets toward government social programs directed to the people. This undermined PDVSA’s prior environmental and community investments, or the environmental and social pillars (Hartwell & Devinney, 2023).

This study examines how the presence of populism in national governments, where the firms’ headquarters are located, influences corporate ESG performance in Europe between 2010 and 2024 and explores under what conditions firms can successfully navigate these political challenges. Arguing that populism introduces a disequilibrium into corporate ESG strategies,

which in turn negatively influences financial stability, financial performance and resilience to systemic risks in general and during crises (Lins et al., 2017; Albuquerque et al., 2020; Gianfrate et al., 2024; Brunetti et al., 2024). Necessitating strategic responses from firms to mitigate potential corporate ESG disruptions, such as populism (Feldmann & Morgan, 2021).

This study aims to built upon broader theories like the stakeholder theory, institutional theory, and strategic responses to populism in relation to corporate ESG performance and specifically contributes to the prior literature on how populism affects corporate responsibility. It extends previous work by focusing on ESG rather than CSR, disaggregating the ESG pillars, distinguishing between ideological variants of populism, and examining the moderating role of MNEs (Hartwell & Devinney, 2023). This study hypothesises that right-wing populism in governments negatively affect the environmental and social pillars (Rodrik, 2018), while left-wing populism in governments may positively influence the environmental and social pillars. Both types of populism have limited effect on the governance pillar (Rodrik, 2018; Chazel & Dain, 2023). Moreover, the relationship is expected to be moderated for MNEs due to their exposure to diverse institutional environments and stakeholder demands, which incentivise the adoption of universal ESG standards (Brammer et al., 2006). This leads to the following research question: *'How does the presence of right- or left-wing populism in a firm's home-country government affect its corporate environmental, social, and governance (ESG) performance, and how is this relationship is moderated for MNEs (0/1)?*

To empirically isolate the mechanisms through which populism in governments impacts corporate ESG performance, this study employs firm-level ESG data combined with populism indicators, analysed using fixed-effects panel regressions. This design controls for unobserved heterogeneity and provides a robust estimate of how populism shapes corporate ESG performance.

The findings contribute to strategic management and international business (IB) literature by providing nuanced insights into how firms strategically respond to geopolitical volatility, in this case populism, to sustain corporate ESG performance. Ultimately, just as integrating ESG into a firm's core strategy was once seen as revolutionary, this study shows that under rising right-wing populism, firms must actively preserve ESG at the centre of their business model.

LITERATURE REVIEW

Corporate ESG performance

In corporate context the term ESG, with its underlying environmental, social, and governance pillars, refers to non-financial factors by generating value for both firms and its stakeholders.

ESG criteria exceed traditional financial standards by not focusing exclusively on shareholder value, but also on broader societal interests. Research shows that shareholders also value this broader stakeholder orientation (Hart & Zingales, 2017). This shift reflects the growing influence of stakeholder theory, which argues that firms should be accountable not only to shareholders, but also to other parties affected by corporate activities, such as customers, employees, communities, suppliers, and the environment (Freeman, 1984). From this perspective, corporate ESG initiatives are not optional, but belong to the strategic core of a firm's responsibility toward its stakeholders. By embedding stakeholder interests into corporate strategy, firms align themselves with long-term value creation that includes environmental and social sustainability.

Corporate ESG performance is the extent to which firms engage in activities that fall within the ESG criteria. Since the 1980s ESG scores have been developed to allow investors to screen firms for sustainability and ethical behaviour. Initially ESG scores started as a tool for investors, as it allowed investors to make critical assessments on corporate responsibilities. In the meantime, it has developed to a widely accepted benchmark for evaluating a firm's sustainability performance. For detailed evaluation, corporate ESG performance can be divided into three different pillars: environmental, social, and governance (Rau & Yu, 2023). This division into three pillars has been described in detail by Rau and Yu (2023) and LSEG Refinitiv methodology guide (3). The environmental pillar concerns how firms manage their impact in relation to the natural environment. Categories assigned to the environmental pillar are emissions, innovation, and resource use with subthemes CO₂, total waste, biodiversity, environmental management, environmental products, water use, energy use, sustainable packaging, environmental supply chain. These subthemes have their own data points and weights. The social pillar concerns how firms maintain a relationship with stakeholders. Categories include human rights, workforce, community, and product responsibility with subthemes rights, responsible marketing, product quality, data privacy, working conditions, diversity and inclusion. Finally, the governance pillar

contains how a firm is governed with categories and subthemes such as transparency on CSR strategy, management structure and compensation, shareholder rights.

Although ESG activities are not always central to a firm's core operations, many firms actively invest in them. An explanation could be that personal values and preferences of shareholders, or the executive board, influence the decision-making on corporate ESG (Bénabou & Tirole, 2009). Besides, it appears that firms with 'slack resources,' such as a surplus of assets, or firms that are active in highly competitive markets, are more likely to invest in corporate ESG (Goerzen et al., 2022). Which in turn also benefits in financial terms, for example, high corporate ESG performance correlate with lower cost of capital and high profitability (Heinkel et al., 2001; El Ghoul, 2016; Lins et al., 2017).

Furthermore, institutional and national contexts have an important role in terms of corporate ESG. The political system is a strong predictor for the ESG performance of firms (Ioannou & Serafeim, 2012). These national institutions ensure variation of corporate ESG between countries (Cai et al., 2016). In addition, could global (climate) agreements also impact the ESG strategies of firms by setting regulatory standards that a firm must comply with to prevent financial penalties or litigations (Goerzen et al., 2022). Among the political forces shaping national institutional contexts, populism has emerged as a particularly disruptive influence on corporate ESG strategies.

Corporate ESG and Populism

A political system that impacts corporate sustainability strategies is populism (Ioannou & Serafeim, 2012). Specifically, populist movements stimulate a division between 'the pure people' and 'corrupt elites' (Mudde, 2004), and this description often frames corporate ESG as an elitist interest disconnected from local needs. Some firms even adopt corporate populist strategies themselves to comply with the populist agenda (Nyberg & Murray, 2023). For example, fossil fuel companies have opposed climate movements as harming jobs and economic freedom, undermining the environmental pillar. This contradiction creates uncertainty for firms trying to maintain ESG legitimacy among both domestic and international stakeholders.

Two defining features of populism in the example above are people-centrism and anti-elitism, which reshape the institutional environments in which firms operate (Mudde, 2004). The difference between radical ideologies and populism is that populist rhetoric defines anything that

is not in favour of the people as corrupt, that betrays the general will. And this logic often attaches itself to ‘ticker’ radical ideologies (Otjes & Louwerse, 2015). Populist governments often pressure firms to align with national priorities of the people, discouraging loyalty to global corporate ESG standards. Corporate ESG initiatives may be framed as serving elite interests, rather than domestic or national goals, thus undermining corporate sustainability and increasing reputational risk for firms (Brubaker, 2017; Nyberg & Murray, 2023).

There is evidence of a negative relationship between populism and environmental performance, which has been attributed to populist opposition to elite-driven climate agendas and the weakening of institutions that promote sustainability (Böhmelt, 2021). Similarly, a higher performance on the Sustainable Development Goals (SDGs) has been associated with lower levels of populist sentiment, suggesting a broader negative relation between populist politics and sustainability objectives (Kroll & Zipperer, 2020).

While most previous research has examined how populist governments affect laws, regulations, and public policy decisions, more recent studies suggest that populism also influences the broader ‘rules of the game’ for firms. Extending this logic to the firm-level, populist parties have been found to hold specific opinions on firms and their operations (Hartwell & Devinney, 2023), indicating that populism may also affect firm-level outcomes. Here, corporate ESG initiatives that are not in line with the priorities of the populist government, can be observed as obstacles. In this way, firms that observe pressures from the populist governments might remove broader corporate ESG initiatives. An example is the removal of ‘fact checks’ of Meta after the inauguration of Donald Trump. Because corporate ESG emphasize pluralism and multiple-stakeholder engagement, this can conflict with the interests of the people. Populism could harm corporate ESG performance, because populist demand firms to reorientate to comply with the populist agenda. This tension is reflected in the observed negative relationship between CSR, a precursor of ESG, and populism, particularly under illiberal, centralizing, and authoritarian populist governments (Hartwell & Devinney, 2023).

Populism in Different Contexts and Times

Populism is often described as a ‘thin ideology’ that attaches itself to more comprehensive ideologies, such as those on the political left or right (Otjes & Louwerse, 2015). Despite their differences, both left- and right-wing variants share a core feature: they divide society into two

antagonistic groups, typically portraying a corrupt elite as the adversary of the ‘pure people’ (Mudde, 2004). This anti-elite rhetoric can pose challenges for firms, particularly those engaging with stakeholders perceived as part of the elite. However, the policy environments shaped by populist ideologies are not uniform in their effects on corporate ESG strategies. Right-wing populist governments often resist globalisation and environmental regulation, while left-wing populist regimes may advocate for stronger social protections and environmental standards (Devinney & Hartwell, 2020). Therefore, it is a misunderstanding for managers to see populism in a single form. Instead, firms must assess its structural, economic, ideological, and political variants to respond appropriately and manage risks in different markets.

The emergence and forms of populism vary widely by region and over time, depending on new underlying social tensions, crises and institutional contexts (Hadiz & Chrysosgelos, 2017). For instance, in earlier forms of populism banks and politicians were the ‘enemy’ for their ‘bad policy’ of issuing unfavourable loans to farmers that could not outweigh technology (Mudde & Kaltwasser, 2017). This form of populism was also more leftist as they advocated for a better labour union, progressive income tax, an eight-hour workday for example. In contrast, today’s populist backlash often targets firms supporting sustainability and minority groups, for example, as this aligns with elitist interests. This makes firms vulnerable to reputational or regulatory risk.

Divergent Effects of Right-wing and Left-wing Populism

Building on this shift, a crucial distinction emerges in how right-wing and left-wing populism define and oppose the ‘elite’ and influence corporate ESG performance. Right-wing populism tends to resist multiculturalism, climate action, and international regulation, thereby creating friction for firms with diverse stakeholder commitments or global ESG strategies (Rodrik, 2018; Böhmelt, 2021). Examples of right-wing parties are Austria's FPÖ or the Netherlands' PVV often support nationalist economic agendas.

In contrast, left-wing populism mainly argues that the political and economic inequalities of the people are because they have been betrayed by the rich elites. According to left-wing populists, politicians are needed who give priority to the people instead of wealthy and large corporations (Rodrik, 2018). Firms operating under left-wing populist governments may face increased regulatory expectations on the environmental and social pillars of ESG. However, firms must be conscious that supporting government social programs doesn’t lead to divesting from

ESG, like in the example of PDVSA. In addition, left-wing populism has been referred to as 'green populism' that has a positive effect on the environment (Chazel & Dain, 2023). Although this view also goes against the interest of many populists where environmental politics is seen as something of the elite (Böhmelt, 2021). Examples of this left-wing parties in Europe include Greece's Syriza and Spain's Podemos.

Populism, ESG, and Resilience During Crises

While the previous paragraph considered populism as an external influence, some argue that populism and crises are mutually reinforcing, creating a feedback loop that intensifies instability and threatens the institutional foundations on which stakeholders rely (Moffitt, 2014). Populist leaders gain traction by dramatizing turmoil, and in turn their rhetoric internally perpetuates new cycles of instability. Although some scholars treat crises as external triggers that merely expose liberal-democratic weaknesses (Mudde, 2021), evidence from the backlash against advanced globalisation shows that banking shocks, widening inequality and elite-driven financial integration furnish the economic crises on which populism thrives (Rodrik, 2018). The concurrence of economic, sovereign-debt, refugee, security and 'fake-news' information crises form a 'perfect storm' that damages trust in courts, universities, and the media (Brubaker, 2017). For firms, this erosion is critical, as those same institutions supply the regulatory certainty, expert validation and stakeholder consensus that underpin corporate ESG standards. When populists weaponize crisis narratives to delegitimise elites, they simultaneously weaken the normative and institutional structure on which firms rely to plan long-term sustainability investments and to signal credibility to capital markets.

Several studies suggest a positive relationship between firms' sustainability efforts, measured through CSR or ESG, and their financial performance during times of crisis. Firms with high CSR performance, for instance, were found to perform better in the stock market during the financial crisis in 2008–2009 (Lins et al., 2017). In the context of the COVID-19 pandemic, better corporate ESG performance was associated with higher returns and lower volatility (Albuquerque et al., 2020). Similarly, ESG and green assets appeared to offer more stability during external shocks (Pastor et al., 2020). Building on this, the resilience of firms with high ESG performance during the COVID-19 crisis was further supported in subsequent research (Gianfrate et al., 2024). However, the observed effect is not universal and appears to vary by geographical context.

Populism and corporate ESG contradict each other fundamentally. While ESG practices improve resilience and stability in times of crisis, populism undermines these sustainability efforts from within (Lins et al., 2017; Albuquerque et al., 2020; Gianfrate et al., 2024). Populist governments are characterised not only by their anti-institutional approach, but also by actively creating and using crises to gain legitimacy (Moffitt, 2014). This strategy is at odds with the long-term orientation and stakeholder-centrism, which is a central feature of corporate ESG criteria. Thereby, populism doesn't only form a direct threat for environmental policies, but it also deprives the ability for firms to guard itself with ESG against crises

Furthermore, several existing literatures prove that environmental issues, such as climate change, systemic risks or crises are interlinked (Brunetti et al., 2024). Besides, these problems lead to micro-level problems for firms, for example defaults of mortgage payments after wildfires in California, United States.

Populism and Corporate ESG for MNEs

Corporate ESG performance under geopolitical tensions, such as nationalism and populism, has been shown to be influenced by home- and host-country dynamics in the context of MNEs (Kim et al., 2024). Findings suggest that governments play a central role, both as key stakeholders and as drivers of the political strategies adopted by MNEs. Evidence further indicates that corporate ESG performance in foreign subsidiaries tends to decline as political differences between home- and host-countries become more pronounced (Kim et al., 2024).

It has been argued that maintaining legitimacy across diverse host environments is particularly challenging for MNEs, primarily due to varying institutional pressures (Kostova & Zaheer, 1999; Donaldson, 1996). This challenge can be understood through the lens of institutional theory, which suggests that firms operate within complex environments shaped by formal regulations, informal norms, and societal expectations (DiMaggio & Powell, 1983). MNEs are subject to multiple institutional environments simultaneously, often facing conflicting pressures across countries. To maintain legitimacy, they must navigate coercive, normative, and mimetic forces. For instance, complying with ESG regulations in one country while responding to anti-ESG populist rhetoric in another. These tensions highlight why some MNEs adopt universal ESG principles, while others adapt locally to sustain institutional acceptance. Isomorphic adaptation to local norms, for instance, may conflict with the values and expectations of the MNE's home-

country (Kostova & Zaheer, 1999). Rather than adopting a relativistic approach ('when in Rome, do as the Romans do') or an imperialist stance ('do as at home'), it has been proposed that MNEs should follow universal principles that balance respect for human rights with sensitivity to local traditions and moral contexts (Donaldson, 1996). Given their exposure to such universal norms, MNEs may be particularly well positioned to moderate the relationship between populism and corporate ESG performance. Supporting this idea, a study examining the relationship between corporate social performance (CSP), a theoretical counterpart to ESG, and internationalisation finds that MNEs operating in a greater number of countries tend to perform better. In particular the domains of community engagement and environmental responsibility (Brammer et al., 2006). This effect is attributed to heightened stakeholder pressure and the implementation of high-level global standards as firms expand internationally.

Strategic Responses to Populism as a Crisis

Continuing on how MNEs and domestic firms should strategically respond to political changes, shifts and even crises caused by populism. Feldmann and Morgen (2021) argue that the rise of populism poses a new challenge for firms. As it undermines the traditional ways in which firms exert industrial influence, namely 'quiet politics' and 'network management'. Populism brings polarisation and 'noisy' politics back, which makes it difficult for MNEs and domestic firms to influence politics. In addition, the ambiguity of populism creates a complex situation where some policies are beneficial and others are detrimental, such as the opposition to regulations such as corporate environmental protection. The article adds that populism can be harmful for the MNEs' corporate strategies that have to comply with the regulatory environments across borders. Therefore, Feldmann and Morgen observe that MNEs keep a low profile as they want to maintain good relations with all governments, including populist ones.

Based on Hirschman's (1970) model, Feldmann and Morgen (2021) develop strategies as a response for populism: *exit*, *voice*, and *loyalty*. *Implicit loyalty* and *soft voice* are the most used strategies for populist environments when the MNE is domestically very dependent, or the firm is not internationally oriented. Where implicit loyalty means that MNEs or domestic firms are willing to tolerate the populist agenda. They change their implicit strategies without openly supporting the populist government. The soft voice strategy tries to impact the populist agenda very minimally, for instance by joint lobbying. However, the best option, exclusively for MNEs, might be the exit

strategy, as their mobility is higher than domestic firms. This is only possible when the MNE is able to adjust its supply chain and it's not very dependent on the market where the populist government is active. Although this option might be very costly.

HYPOTHESES DEVELOPMENT

Although several studies have explored the theoretical relationship between corporate sustainability and populism, empirical research in this area remains limited. In particular, few quantitative studies have examined this relationship using firm-level ESG performance data. This section develops hypotheses based on existing literature to address this gap.

Main Effects of Right- and Left-wing Populism and ESG performance

Populism poses a structural challenge for firms seeking to implement sustainability and ethical business practices. Right-wing populism, specifically, adopts an anti-institutional stance hostile to pluralistic values and undermines the legitimacy of multi-stakeholder engagement (Mudde, 2004; Rodrik, 2018). Corporate ESG strategies inherently depend on pluralism, stakeholder value creation, and a long-term orientation (Hart & Zingales, 2017), requiring engagement with diverse stakeholders across environmental, social, and governance pillars. This creates a fundamental clash with populist agendas. Firms, headquartered in countries with populist governments, may consequently experience pressure to realign their ESG commitments with populist political goals (Hartwell & Devinney, 2023). Right-wing populist governments often frame sustainability initiatives and inclusion of minority groups as elements of an elite-driven agenda, creating an environment where climate action, diversity, and social inclusion are challenged practices (Rooduijn & Akkerman, 2015). This tension predominantly impacts the environmental and social pillars of corporate ESG performance, while governance might be less impacted, due to its focus on internal business dynamics (Böhmelt, 2021).

H1a. The presence of right-wing populism in the home-country's government has a negative effect on aggregate corporate ESG performance.

H1b. The presence of right-wing populism in the home-country's government has a negative effect on the environmental pillar of ESG performance.

H1c. The presence of right-wing populism in the home-country's government has a negative effect on the social pillar of ESG performance.

H1d. The presence of right-wing populism in the home-country's government has no significant effect on the governance pillar of ESG performance.

Left-wing populism differs from right-wing populism by emphasizing economic inequality, social justice and inclusion (Rooduijn & Akkerman, 2015). Left-wing populists argue that politicians are needed to prioritize the people's welfare rather than wealth and large corporations (Rodrik, 2018). These priorities affect the regulatory landscape in which firms operate and may result into increased institutional pressure on firms to improve their environmental and social performance. For instance, firms headquartered in countries with left-wing populist parties in the government may face stricter environmental regulations or heightened obligations concerning employee welfare, workplace diversity, and equal opportunity (Chazel & Dain, 2023; Böhmelt, 2021). These institutional pressures can incentivize firms to strengthen their corporate ESG strategies, particularly in the environmental and social pillars. At the same time, the governance pillar might show no significant effect since firms may not experience the same external push from populism to improve governance pillar as they do in the environmental and social pillars.

H2a. The presence of left-wing populism in the home-country's government has a positive effect on aggregate corporate ESG performance.

H2b. The presence of left-wing populism in the home-country's government has a positive effect on the environmental pillar of ESG performance.

H2c. The presence of left-wing populism in the home-country's government has a positive effect on the social pillar of ESG performance.

H2d. The presence of left-wing populism in the home-country's government has no significant effect on the governance pillar of ESG performance.

Moderating Effect for MNEs

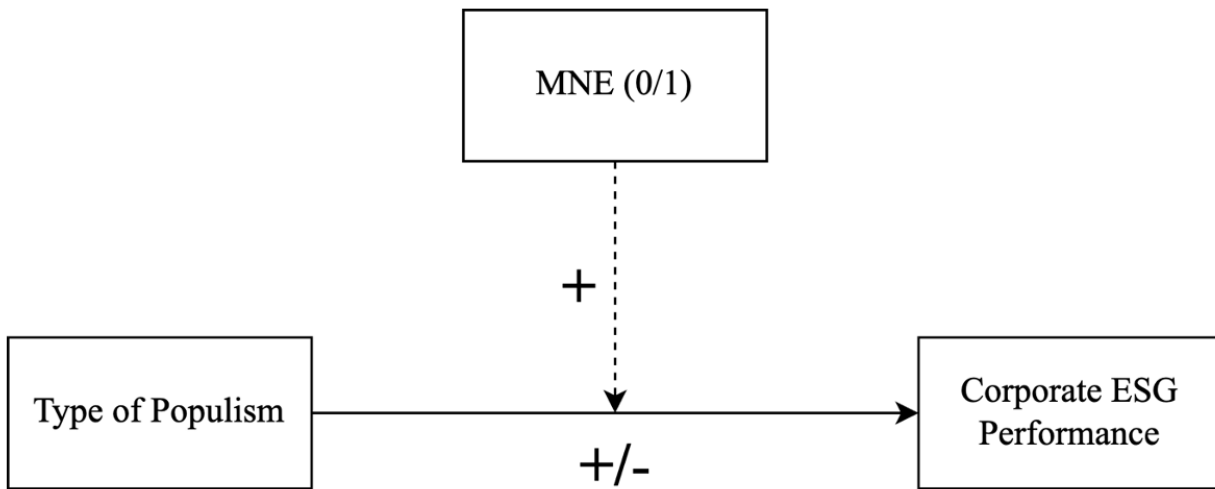
MNEs operate in multiple institutional contexts, confronting a variety of institutional pressures. This institutional complexity leads to tensions between local adaptation, isomorphism, and universal corporate principles (Kostova & Zaheer, 1999; Donaldson, 1996). Especially in populist contexts, where anti-globalization and nationalist rhetoric are central and MNEs experience pressure to adapt to the populist agenda. With which they may lose legitimacy in other countries if they surrender to those new regulations. Research shows that ESG practices of MNEs are especially vulnerable to geopolitical tensions, particularly when significant differences exist between the institutional norms and values of the home- and host-countries (Kim et al., 2024). Assuming that firms with a high level of internationalisation, like MNEs, adopt universal values and therefore are better able to deal with maintaining values on sustainability and ethics than firms with no or little internationalisation (Donaldson, 1996; Rugman & Verbeke, 2004). Finally, examining the relationship between ESG and the geographic diversity of an MNE shows that there is a positive relationship on social and environmental performance (Brammer et al., 2006). This is caused by the increased stakeholder pressure that MNEs experience as they become more internationalised. Therefore, these MNEs create high-level global standards.

For this study, high internationalisation of a firm is expected to act as a moderating factor, where the negative effect of populism on corporate ESG performance is weakened for MNEs, because MNEs must comply with several global institutional standards.

H3a. The negative effect of right-wing populism on corporate ESG performance is weakened for MNEs (0/1), such that MNEs are more resilient against populist influence.

H3b. The positive effect of left-wing populism on corporate ESG performance is strengthened for MNEs (0/1), such that MNEs are more resilient against populist influence.

FIGURE 2
Conceptual Model



DATA AND METHODOLOGY

Prior Studies' Data and Methods on ESG

Prior research on corporate ESG performance employs various methodological approaches based on differing assumptions about the nature of external influences. One study applies fixed effects panel regressions with firm-clustered standard errors to address unobserved heterogeneity, incorporating a one-year lag to capture the delayed impact of geopolitical tensions, which are treated as exogenous shocks to firms (Kim et al., 2024). In contrast, another study adopts a System-GMM model to account for the endogeneity of populist pressures, reflecting the view that such pressures are embedded in national institutional structures (Hartwell & Devinney, 2023). Other research considers crises, such as COVID-19, to be exogenous shocks. Underscoring the need to distinguish between institutional- and firm-level drivers (Gianfrate et al., 2024).

Building on these insights, this study treated populism as an exogenous influence, originating from political systems rather than within firms, and applied fixed effects panel regressions with firm-clustered standard errors to analyse ESG scores across countries and years. Given the time required for political change to manifest in regulatory or reputational outcomes, a three-year lag structure is adopted. Lag tests (see Appendix 1) confirmed that right-wing populism has the strongest effect on ESG performance after three years, aligning with earlier findings

(Hartwell & Devinney, 2023). This was consistent with observations that the benefits of ESG investments often take time to materialize (Behl et al., 2021), highlighting the importance of incorporating lagged effects in the analysis. In contrast, left-wing populism appeared to exert only a direct effect, which may indicate short-term ESG signalling or greenwashing driven by reputational motives.

Data and Sample

This study draws on firm-level ESG data gathered from LSEG Refinitiv, one of the most comprehensive global databases for corporate sustainability metrics. While, in general inter-rater correlations across ESG rating agencies remains limited, Refinitiv scores showed relatively strong correlations with alternative raters (Berg et al., 2022). The population included 6,812 publicly listed firms headquartered in 23 European countries between 2010 and 2024 (Timbro, 2024). This time frame was chosen to capture both the period preceding and the ongoing rise of populism in Europe, especially marked since 2015 (Rooduijn, 2018), and to utilize the extended availability of European populism data up to 2024.

Populism data, including party ideology and coalition status, was sourced from the Timbro dataset and ThePopuList dataset. Per country, a party was classified as influential if it was part of a governing coalition or held a confidence-and-supply (cs) arrangement. Right-wing and left-wing orientations were coded with information from the same sources. Countries with no populist influence in the government were also included in the dataset providing a benchmark. Firm-level control variables and the moderator variable, MNE (0/1), were retrieved from the Orbis database. Macroeconomic indicators were sourced from the World Bank Development Indicators.

All data were merged using Stata and converted to long-format panel structure to allow for fixed effects estimation. The scores of ESG performance, or ESG scores, were processed per country and per ESG pillar. Populism variables were merged on the basis of year and country-level governing party data.

A challenge was the large volume of missing ESG scores in early years of the dataset, particularly before firms began systematic sustainability reporting, possibly after the Paris-Agreement in 2015. A listwise deletion approach would have reduced the sample from 140,503 to approximately 18,000 firm-year observations, an 86 per cent drop, primarily excluding smaller or newly listed firms, thus introducing selection bias. Another option was to delete the whole firm, if

one year of ESG score was missing. However, this would result in only 1,326 observations left in the dataset, which is equivalent to 88 firms.

To reduce this selection bias, single imputation based on industry averages was chosen (see Table 1 and 2 for differences). A deliberate choice was made to take out imputation based on regression, as this gives the same effect as leaving the missing values in, as it assumes that corporate ESG performance has a linear relationship (see Appendix 2). If a firm starts reporting its corporate ESG performance in 2015, regression imputation would have assumed a linear increase from previous years. Single imputation by industry-year averages was used to account for broader contextual influences, allowing the imputed values to reflect industry-wide trends and external shocks, such as regulatory changes or shifts in populist governance, that similarly affect firms within the same industry. Table 2 shows that the observations are now equal everywhere and the industry average has been added. This brought down the averages and standard deviation a little. The reduction in SD is because there are more observations.

TABLE 1
Visualisation of skewed observations

Year	Mean	SD	N
2010	51.262	20.664	694.000
2011	51.736	21.123	723.000
2012	52.153	20.48	739.000
2013	52.556	20.301	754.000
2014	52.986	20.198	776.000
2015	53.258	20.875	861.000
2016	54.691	20.127	889.000
2017	55.47	19.874	1004.000
2018	52.47	20.893	1425.000
2019	52.365	21.043	1629.000
2020	49.583	21.992	2166.000
2021	50.594	21.449	2262.000
2022	52.127	20.71	2283.000
2023	53.134	20.298	2113.000
2024	49.671	19.504	220.000

TABLE 2
Visualisation of observations after imputation

Year	Mean	SD	N
2010	48.914	9.244	6799.000
2011	49.771	9.19	6800.000
2012	50.37	9.128	6800.000
2013	50.83	9.061	6801.000
2014	51.597	9.102	6801.000
2015	52.705	9.165	6802.000
2016	54.424	8.924	6802.000
2017	55.305	8.627	6804.000
2018	51.752	10.217	6809.000
2019	51.855	10.973	6812.000
2020	49.222	13.14	6813.000
2021	50.372	12.935	6816.000
2022	51.939	12.471	6817.000
2023	52.98	11.803	6814.000
2024	50.121	10.117	6791.000

Methodology and Research Design

Based on prior literature, this study used a panel data regression model to capture both the cross-country and time-series variations in corporate ESG performance, reflecting firms' engagement in ESG activities through their scores. Fixed effects were included to control for unobserved, time-invariant firm characteristics that may influence corporate ESG performance. Robust standard errors were clustered at the firm level to address potential heteroscedasticity and serial correlation in panel observations (White, 1980).

The choice of fixed effects over random effects was crucial, because firms often structurally differ in unobserved characteristics that correlate with explanatory variables, such as political context or financial performance. To provide statistical validation for this decision, a Hausman test (Hausman, 1978) was conducted. A p-value below 0.05 would indicate systematic differences between fixed effects and random effects estimates, making fixed effects the appropriate model. Conversely, higher p-values would suggest random effects as a more efficient estimator, assuming individual effects do not correlate with explanatory variables. In this study, the Hausman test, including all variables and controls, revealed a p-value $< .000$, thus strongly supporting the selection of the fixed effects model for the regression analyses.

The model incorporated lags on right-wing populism to capture delayed political effects on corporate ESG performance. While left-wing populism had no lag. This accounted for the temporal

distance between institutional shifts and firm-level behavioural or reported adjustments. The regression model included both direct and indirect effects between populist types and ESG pillars:

$$y = \text{type of populism} \times MNE + \text{firm controls} + \text{macro controls} + \varepsilon,$$

where the *corporate ESG performance*, y , is on continuous score of a firm within the country of headquarters in a specific year. Here, a better corporate ESG performance meant that the firm indicated stronger engagement to ESG activities. These activities are evaluated by specialised ESG rating agencies, which convert the assessment into a ESG score from 0 to 100 or D- (laggard) to A+ (leader) (3). Despite the recommendation to aggregate the ratings from multiple ESG rating agencies (Berg et al., 2022), for this study it was only compiled from LSEG Refinitiv due to limited access to databases. Refinitiv's analysts collect raw data per firm from public sources such as annual reports, company websites, NGO websites, and CSR reports (Rau & Yu, 2023). About 630 raw data points per firm are processed into 186 metrics and then categorised into 10 categories. These are then broken down into the three pillars environmental, social, and governance. This process yields an aggregated ESG score that reflects a firm's performance relative to its industry peers (Rau & Yu, 2023).

The right side of the equation are the variables *type of populism*, left or right, including the moderator *MNE* (0/1), *firm controls*, *macro controls* and the *standard error*. Variance-covariance error (VCE) was used to estimate standard errors for robustness clustered on firms. The main independent variables, *right-wing populism* and *left-wing populism*, were binary indicators representing the presence of a right-wing or left-wing populist party in the government coalition of the firm's home-country. These dummy variables took the value 1 if a populist party was part of the governing coalition (including confidence-and-supply arrangements), and 0 otherwise. This approach was preferred over vote share, as governing parties have direct influence over policy-making, including taxation and regulation. Right-wing and left-wing populism were split into two different variables in order to measure them separately. In cases where both left-wing and right-wing populist parties participated in government, the dominant party was identified based on the highest seat count in the most recent election. Table 3 presents the countries and years included in the populism dataset, alongside the ideological classification of the dominant party. Timbro's dataset gave a comprehensive representation of populist parties in European countries, dated back

to 1945. For this study, all data from 2010 onwards was used, regardless of whether a populist party was already in power the year before or not.

For the moderator variable, *MNE* (0/1), the foreign-sales ratio was used to establish whether a firm qualifies as an MNE. Prior research suggests that at least 20 per cent of sales must be generated abroad for a firm to be classified as an MNE (Rugman & Verbeke, 2004). Foreign sales data is only available for 2024, so ratios from that year are employed. Accordingly, the dummy variable took the value 1 if a firm is an MNE, equal to foreign sales of 20% or higher, and 0 for otherwise.

TABLE 3
List of Countries and Populist Ideologies

Country	Populist parties	Years populist in coalition*	Type of populism**
Austria	FPÖ	2017 - 2019	Right
Bulgaria	Ataka, NFSB	2017 - 2021	Right
Cyprus	AKEL	2010 - 2013	Left
Czech Republic	ANO	2014 - 2021	Left
Denmark	DF(cs), EL(cs)	2010 - 2022	Right
Estonia	EKRE	2019 - 2021	Right
Finland	PS	2015 - 2019, 2023 - present	Right, right
Greece	LAOS, Syriza, ANEL	2011 - 2012, 2015- 2019	Left, left
Hungary	Fidesz	2010 - present	Right
Italy	LN, M5S, Lega, FdI	past - 2011, 2018 - present	Right, right
Latvia	NA, KPV	2010 - 2023	Right
Lithuania	DP, TT	2012 - 2016, 2018 - 2019	Left, left
Netherlands	SGP(cs), PVV	2010 - 2011, 2024 - present	Right, right
Norway	FRP	2013 - 2021	Right
Poland	PiS	2015 - 2023	Right
Portugal	PCP(cs), Chega	2015 - 2019, 2024 - present	Left, right
Romania	PDSR	2012 - 2015, 2017 - 2019	Left, left
Slovakia	Smer, SNS, SR, Hlas	past - 2010, 2012 - present	Left, left
Slovenia	SDS, SNS, Levica	2012 - 2013, 2018 - present	Right, right
Spain	Sumar, PCE, Podemos	2020 - present	Left
Sweden	SD(cs)	2022 - present	Right
Switzerland	SVP	2010 - present	Right
United Kingdom	DUP(cs)	2017 - 2019	Right

Note: *For the years in which a populist party was in coalition, confidence-and-supply (cs) arrangements are also included. This means that a party influenced policy making without formally being part of the coalition. For the abbreviations of the political parties, see Appendix 3. **The classification of left- or right-wing populism under type of populism' is based on the ideology of the party with the most seats and likely the greatest influence in the coalition in the specific period.

To account for alternative explanations, several firm-level and macroeconomic control variables were included. The firm-level controls, obtained from Orbis, include the natural logarithm of total assets and total operating revenue (as representations for firm size), return on

equity (ROE), return on assets (ROA), profit (loss) before tax, and solvency ratio (as representations for financial performance and resource slack). Prior studies have established a positive relationship between firm size and sustainability engagement (Li & Zhang, 2010; Kim et al., 2024). Similarly, financial performance and solvency are linked to a firm's capacity to pursue bonus investments, including sustainability initiatives (Goerzen et al., 2022; Hartwell & Devinney, 2023).

Macroeconomic control variables include inflation, GDP growth, foreign direct investment (FDI) as a percentage of GDP, gross capital formation, and the unemployment rate. These were sourced from the World Bank Development Indicators and selected based on prior empirical studies on ESG and political economy (Hartwell & Devinney, 2023).

Despite the different ways of measuring being vastly different in terms of weights and variables per agency, controlling for year and industry is often chosen within fixed effects. Year dummies were not included in the models, as they would largely absorb the time-varying variance in corporate ESG performance. Since the aim is to analyse the impact of populist governments on corporate ESG performance over time. For this reason, it was chosen to explicitly retain this variance rather than filter it out. Furthermore, controls for industry dummies were not included, as ESG rating agencies already calculate scores relative to peers within the same industry (Rau & Yu, 2023). In addition, robustness analyses explicitly compared different industries by filtering out ESG insensitive industries.

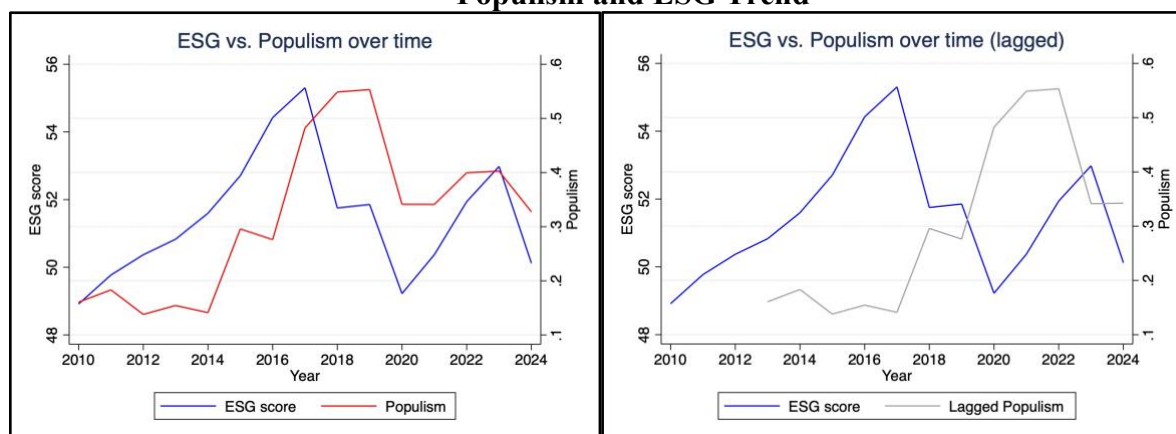
RESULTS

This section presents the quantitative findings resulting from the methodological and data-related approach of this study on the impact of *right-wing and left-wing populism* on *corporate ESG performance* of firms in Europe. The section starts with a trend visualisation of the interaction between populism and ESG trend over time and descriptive statistics. Correlations are then discussed, after which several regressions are presented to test the hypotheses. Finally, robustness analyses are conducted. In this section, the findings are presented objectively without interpretations or conclusions; these follow in the subsequent chapter.

Corporate ESG and Populism Trend

Figure 3 shows the trend of *corporate ESG performance* in Europe together with the evolution of populism over the period 2010-2024. Firms are expected to react to political changes with some delay. This will be taken into account while doing the regressions. Populism increased substantially for the first time around 2015. The link and lag between populism and ESG is evident in the year 2015 and 2016 for populism and 2018 and 2019 for ESG (left figure). In doing so, they make the same movement in opposite directions. The second wave of populism starts in 2017 and lasts until 2019. Visible from the ESG trend line that fell heavily in 2018 after the first wave in 2015. If in 2018 and 2019 the number of populist parties in national governments rises further to approximately 55 per cent, the *corporate ESG performance* will reach its low point in 2020, again three years later. This lagged effect highlights the need to use a lag structure in regressions. After 2020, the share of populist parties' governments seems to stabilise at a relatively high level compared to 2014. At the same time, the *corporate ESG performance* shows a partial recovery, but it does not fully recover to pre-2018 levels. Although this visual analysis shows interesting relationships, no causal conclusions can be drawn yet on the basis of this figure. This would require regression analyses, which control for other explanatory factors and explicitly include lagged effects.

FIGURE 3
Populism and ESG Trend



Descriptives

Table 4 presents the descriptive statistics of all variables included in the analysis. The dependent variable, corporate ESG performance, consists of 102,081 firm-level multi-year observations. These observations are from a total of 6,817 unique firms within Europe. The mean ESG score is 51.477 with a standard deviation of 10.536, indicating a relatively normal distribution. Although the minimum (0.627) and maximum (95.895) values indicate some outliers. Regarding the independent variables, right-wing populism occurs in 26.6 per cent of the observations, while left-populism is present in only 5 per cent. Suggesting that right-populism is significantly more common in Europe than left-populism in governments between 2010 and 2024.

For the control variables, the number of observations falls, which is due to the incompleteness of data from Orbis and World Bank Development Indicators. Furthermore, it can be seen that the log-transformed financial indicators, such as operating revenue and total assets, show reasonable dispersion. However, variables such as ROE and profit before tax show strong variation and extreme values, including negative outcomes. This indicates significant differences between firms in terms of size and performance. Moreover, the wide distribution of particularly financial and macroeconomic variables indicates a diverse sample, which contributes to the generalisability of the results.

TABLE 4
Descriptive Statistics

Variable	Obs.	Mean	Std. Dev.	Min.	Max.
ESG score	102,081	51.477	10.536	0.627	95.895
E-score	102,081	48.865	14.18	0	99.141
S-score	102,081	54.375	12.215	0.121	98.47
G-score	102,081	50.089	11.103	0.323	98.756
Right-wing populism	102,081	0.266	0.442	0	1
Left-wing populism	102,081	0.05	0.218	0	1
MNE (0/1)	85,514	0.014	0.117	0	1
Operating revenue (log)*	65,090	17.929	3.211	-3.507	26.838
Total assets (log)*	67,143	18.764	2.947	0	28.704
ROE	64,143	-5.041	69.388	-990.676	961.829
Solvency ratio (%)	66,498	47.698	27.835	-99.667	100
ROA	65,608	-0.902	17.394	-99.972	99.587
Profit before tax*	67,134	1.939e+08	1.721e+09	-1.345e+11	1.381e+11
FDI**	93,806	4.89	32.127	-440.131	452.221
GDP growth (%)	93,806	1.832	3.225	-10.94	24.616
Capital formation (%)**	93,806	21.36	3.561	11.888	53.714
Inflation (%)	10,0449	2.368	2.629	-4.519	19.705
Unemployment (%)	93,806	7.385	4.018	2.015	27.686

Note: *Values of variable in mln €. ** Values of variable in % of GDP

Pairwise Correlation Matrix

The pairwise correlation in Table 5 gives a general overview of the correlations between the dependent, independent and control variables from the model. The asterisks show a significance of $< .05$ between the variables. The dependent variable, *corporate ESG performance*, indicates strong correlation with all independent and firm-level control variables. The correlation matrix suggests that corporate ESG performance has a significant negative correlation with right-wing populism and significant positive with left-wing populism. For control variables the matrix illustrates that larger firms correlate with higher *corporate ESG performance*. The same is for profitability through *profit before tax*, *ROA* and *ROE*. This indicates that higher *corporate ESG performance* is correlated with better financial performance. For macro controls, only *GDP* and *Unemployment* are significant. The latter, surprisingly, has a positive relationship. GDP is also positively correlated with *corporate ESG performance*.

Noticeable is the high correlation between the control variables *operating revenue (log)* with *total assets (log)* and *ROE* and *ROA*. Therefore, to avoid high multicollinearity between the variables, a Variance Inflation Factor (VIF) test is conducted to test for multicollinearity. The test reveals a value of 2.477 (see Appendix 4), which is an acceptable value (1).

TABLE 5
Correlations

Variable	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)	(17)	(18)
(1) ESG performance	1.000																	
(2) Environmental pillar	0.838*	1.000																
(3) Social pillar	0.902*	0.674*	1.000															
(4) Governance pillar	0.732*	0.489*	0.478*	1.000														
(5) Right-wing populism	-0.010*	-0.045*	0.017*	0.006	1.000													
(6) Left-wing populism	0.043*	0.052*	0.044*	0.007*	-0.138*	1.000												
(7) MNE (0/1)	0.108*	0.106*	0.097*	0.069*	-0.018*	0.003	1.000											
(8) Operating revenue (log)	0.267*	0.283*	0.221*	0.182*	-0.048*	-0.013*	0.151*	1.000										
(9) Total assets (log)	0.267*	0.341*	0.205*	0.192*	-0.053*	0.007	0.178*	0.860*	1.000									
(10) ROE	0.039*	0.074*	0.020*	0.025*	-0.002	0.012*	0.017*	0.244*	0.223*	1.000								
(11) Solvency ratio	-0.113*	-0.148*	-0.096*	-0.074*	0.009*	-0.011*	-0.033*	-0.321*	-0.278*	0.046*	1.000							
(12) ROA	0.039*	0.088*	0.014*	0.018*	0.009*	0.016*	0.028*	0.346*	0.286*	0.643*	0.053*	1.000						
(13) Profit before tax	0.185*	0.177*	0.157*	0.142*	-0.012*	-0.007	0.122*	0.237*	0.232*	0.065*	-0.043*	0.074*	1.000					
(14) FDI	-0.006	0.003	-0.003	-0.010*	-0.044*	0.063*	-0.007	-0.030*	-0.016*	0.002	0.011*	0.008	-0.005	1.000				
(15) GDP growth	0.020*	0.012*	0.031*	0.004	0.027*	0.001	-0.013*	-0.048*	-0.051*	0.027*	0.051*	0.035*	0.016*	0.109*	1.000			
(16) Capital formation	-0.002	-0.024*	0.027*	-0.010*	0.173*	-0.066*	-0.026*	-0.012*	0.017*	-0.031*	0.009*	-0.046*	0.009*	-0.041*	0.167*	1.000		
(17) Inflation	-0.003	-0.006*	-0.030*	0.036*	0.127*	-0.021*	-0.014*	-0.065*	-0.062*	-0.019*	0.037*	-0.018*	0.000	-0.043*	0.123*	0.100*	1.000	
(18) Unemployment	0.042*	0.102*	0.015*	-0.032*	-0.257*	0.197*	0.021*	0.022*	0.041*	0.003	-0.082*	0.008*	-0.012*	0.027*	-0.155*	-0.310*	-0.257*	1.000

Note: * p<0.05

Main Regression Results

Aggregated Corporate ESG Performance

Rather than correlation, this section analyses the casual relationship between *right-wing* or *left-wing populism* and *corporate ESG performance* in Europe, based on fixed effects panel regression models (see Table 6). The analysis is conducted with five models to test hypotheses 1a, 2a, 3a and 3b by adding populism and moderation variables to a baseline specification with firm-level and macroeconomic control variables. Robust standard errors are clustered at the firm level to correct for heteroscedasticity and serial correlation.

Before testing the hypotheses, Model 1 includes only the control variables in relation to the dependent variable. For the control variables the natural logarithm of *total assets* shows a strong negative relationship with *corporate ESG performance* ($\beta = -0.37796$, $p < .01$), implying that larger firms report lower *corporate ESG performance* on average. *Profit before tax* has a positive significant effect ($\beta = 0.00001$, $p < .01$), although the coefficient is small due to the large scale of this variable. Macroeconomic indicators, such as *GDP*, *unemployment* and *inflation*, are also found to be relevant factors. *GDP* demonstrates a significantly positive effect with *corporate ESG performance* ($\beta = 0.11918$, $p < .01$), *unemployment* shows a consistent negative and significant effect ($\beta = -0.41374$, $p < .01$), while *inflation* has a positive relationship with *corporate ESG performance* ($\beta = -0.02739$, $p < .05$).

Model 2 tests H1a by adding *right-wing populism* to the model. This shows a strong significant negative effect of *right-wing populism*, with a lag of three years, on *corporate ESG performance* ($\beta = -1.73716$, $p < .01$). This provides a strong support for H1a. The effect remains stable when *left-wing populism* added in Model 4 ($\beta = -1.76483$, $p < .01$).

Model 3 tests H2a, examining the relationship between *left-wing populism* and *corporate ESG performance*, showing a significant positive effect ($\beta = 0.37202$, $p < .05$), which confirms H2a. This effect is amplified in Model 4, which also incorporates *right-wing populism* ($\beta = 0.56126$, $p < .01$).

Model 5 tests H3a and H3b by including an interaction term to examine whether the effect of *right-wing* and *left-wing populism* is different for MNEs. For *right-wing populism*, the interaction term with *MNE* (0/1) is significantly positive ($\beta = 3.52059$, $p < .01$). This confirms H3a by indicating that negative effect of *right-wing populism* is significantly weakened among MNEs. The interaction of *MNE* (0/1) with *left-wing populism* is also positive and significant ($\beta = 3.44210$,

$p < .05$). Suggesting that the positive effect of *left-populism* on *corporate ESG performance* is amplified among MNEs, confirming H3b.

To test whether these patterns differ across ESG pillars, the analysis next disaggregates the dependent variable into its environmental, social, and governance pillars.

TABLE 6
Main Regression Results

DV: ESG performance	Model 1	Model 2	Model 3	Model 4	Model 5
Right-wing populism (L=3)		-1.73716*** (0.11279)		-1.76483*** (0.11319)	-1.87252*** (0.11588)
Left-wing populism (L=0)			0.37202** (0.18204)	0.56126*** (0.19496)	0.48934** (0.19949)
MNE (0/1) × right-wing					3.52059*** (0.93457)
MNE (0/1) × left-wing					3.44210** (1.41910)
Operating revenue (log)	-0.00586 (0.05162)	-0.03735 (0.05620)	-0.00764 (0.05163)	-0.04015 (0.05621)	-0.02696 (0.06061)
Total assets (log)	-0.37796*** (0.07444)	-0.80919*** (0.08451)	-0.37922*** (0.07444)	-0.81156*** (0.08451)	-0.81665*** (0.08791)
ROE	0.00085 (0.00084)	0.00074 (0.00091)	0.00084 (0.00084)	0.00073 (0.00091)	0.00087 (0.00093)
ROA	-0.00992*** (0.00378)	-0.00523 (0.00406)	-0.00982*** (0.00378)	-0.00500 (0.00406)	-0.00588 (0.00420)
Profit before tax	0.00001*** (0.00000)	0.00001*** (0.00000)	0.00001*** (0.00000)	0.00001*** (0.00000)	0.00001*** (0.00000)
Solvency ratio	0.00705** (0.00301)	0.00517 (0.00339)	0.00700** (0.00301)	0.00512 (0.00339)	0.00517 (0.00346)
FDI	-0.00211* (0.00120)	-0.00045 (0.00122)	-0.00217* (0.00120)	-0.00044 (0.00122)	-0.00052 (0.00123)
GDP	0.11918*** (0.01017)	0.12027*** (0.01052)	0.11854*** (0.01017)	0.11992*** (0.01052)	0.12406*** (0.01070)
Capital formation	-0.09225*** (0.01947)	-0.11524*** (0.02096)	-0.08985*** (0.01951)	-0.11145*** (0.02099)	-0.12023*** (0.02135)
Inflation	-0.02739** (0.01325)	0.08457*** (0.01421)	-0.02562* (0.01327)	0.08747*** (0.01425)	0.08296*** (0.01447)
Unemployment	-0.41374*** (0.01961)	-0.35314*** (0.02332)	-0.41042*** (0.01968)	-0.34973*** (0.02335)	-0.34187*** (0.02368)
Constant	63.73473*** (1.26967)	73.02976*** (1.46015)	63.69326*** (1.26979)	72.98812*** (1.46010)	72.98120*** (1.48925)
R-squared	0.013	0.018	0.013	0.018	0.018
Observations	57568	48998	57568	48998	47241
Number of firms	5815	5800	5815	5800	5516

Note: Standard errors in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Environmental, Social, and Governance Pillars

To test the hypotheses 1b, 1c, 1d, 2b, 2c, 2d this section assesses whether the two types of populism affect the separate pillars of ESG differently. The dependent variable is disaggregated into its three pillars: *environmental* (E), *social* (S), and *governance* (G), rather than relying solely on the aggregate ESG score (see Table 7). The results from Model 2 confirm H1b and H1c by indicating that *right-wing populism* has consistently negative and statistically significant impacts on both *environmental* ($\beta = -2.385$, $p < .01$) and *social* ($\beta = -2.633$, $p < .01$) pillars. H1d is confirmed, because this study hypothesised that the effect of *right-wing populism* on the *governance* ($\beta = -0.037$, $p > .1$) pillar would lack significance. These effects persist in Model 4, confirming the robustness of the pattern.

Model 3 tests H2b, H2c, and H2d for the effect of *left-wing populism*, where the coefficients are significant and positive for both *environmental* ($\beta = 0.513$, $p < .05$) and *social* ($\beta = 0.593$, $p < .01$), while the effect on *governance* ($\beta = -0.129$, $p > .1$) remains insignificant. This confirms the hypotheses 2b, 2c, and 2d. In Model 4, the effects of *left-wing populism* are amplified when *right-wing populism* is added.

Furthermore, Model 5 shows that for MNEs the negative effects of *right-wing populism* are weakened, consistent with H3a. The interaction terms are significantly positive for all three pillars (*E*: $\beta = 4.778$; *S*: $\beta = 3.564$; *G*: $\beta = 2.843$; all $p < .01$). The moderating effect of being an *MNE* (0/1) under left-populist political influence is significantly weaker. The significant effect accounts only for the *social* pillar ($\beta = 4.038$, $p < .05$) and no significant result for the *environmental* and *governance* pillar, which is not consistent with H3b.

Table 7
Regression Results – ESG Pillars per Model

DV: E/ S/ G performance	Model 1			Model 2			Model 3			Model 4			Model 5		
	E	S	G	E	S	G	E	S	G	E	S	G	E	S	G
Right-wing (L=3)				-2.385*** (0.138)	-2.633*** (0.136)	-0.037 (0.132)				-2.421*** (0.138)	-2.675*** (0.137)	-0.037 (0.133)	-2.536*** (0.142)	-2.770*** (0.140)	-0.136 (0.136)
Left-wing (L=0)							0.513** (0.223)	0.593*** (0.222)	-0.129 (0.214)	0.735*** (0.238)	0.840*** (0.236)	0.006 (0.229)	0.661*** (0.244)	0.777*** (0.241)	-0.035 (0.234)
MNE (0/1) × right-wing													4.778*** (1.143)	3.564*** (1.130)	2.843*** (1.097)
MNE (0/1) × left-wing													3.248* (1.736)	4.038** (1.715)	2.120 (1.665)
Operating revenue (log)	0.058 (0.063)	0.037 (0.063)	-0.100 (0.061)	-0.020 (0.069)	0.006 (0.068)	-0.089 (0.066)	0.055 (0.063)	0.034 (0.063)	-0.099 (0.061)	-0.023 (0.069)	0.001 (0.068)	-0.089 (0.066)	-0.023 (0.074)	0.039 (0.073)	-0.111 (0.071)
Total assets (log)	-1.108*** (0.091)	-0.257*** (0.091)	0.083 (0.088)	-1.303*** (0.103)	-1.043*** (0.102)	-0.098 (0.099)	-1.110*** (0.091)	-0.259*** (0.091)	0.083 (0.088)	-1.306*** (0.103)	-1.047*** (0.102)	-0.098 (0.099)	-1.352*** (0.108)	-1.096*** (0.106)	-0.021 (0.103)
ROE	0.001 (0.001)	0.001 (0.001)	0.000 (0.001)	0.001 (0.001)	0.001 (0.001)	0.000 (0.001)	0.001 (0.001)	0.001 (0.001)	0.000 (0.001)	0.001 (0.001)	0.001 (0.001)	0.000 (0.001)	0.001 (0.001)	0.001 (0.001)	0.000 (0.001)
ROA	-0.011** (0.005)	-0.012** (0.005)	-0.006 (0.004)	-0.004 (0.005)	-0.006 (0.005)	-0.004 (0.005)	-0.011** (0.005)	-0.011** (0.005)	-0.006 (0.004)	-0.004 (0.005)	-0.005 (0.005)	-0.004 (0.005)	-0.004 (0.005)	-0.007 (0.005)	-0.005 (0.005)
Profit before tax	0.000*** (0.000)	0.000*** (0.000)	0.000*** (0.000)	0.000** (0.000)	0.000*** (0.000)	0.000** (0.000)	0.000*** (0.000)	0.000*** (0.000)	0.000*** (0.000)	0.000** (0.000)	0.000*** (0.000)	0.000** (0.000)	0.000* (0.000)	0.000** (0.000)	0.000*** (0.000)
Solvency ratio	0.002 (0.004)	0.012*** (0.004)	0.005 (0.004)	0.001 (0.004)	0.010** (0.004)	0.003 (0.004)	0.002 (0.004)	0.012*** (0.004)	0.005 (0.004)	0.001 (0.004)	0.010** (0.004)	0.003 (0.004)	0.002 (0.004)	0.010** (0.004)	0.002 (0.004)
FDI	-0.003* (0.001)	-0.001 (0.001)	-0.003** (0.001)	-0.002 (0.001)	0.002 (0.001)	-0.002 (0.001)	-0.003** (0.001)	-0.001 (0.001)	-0.003** (0.001)	-0.002 (0.001)	0.002 (0.001)	-0.002 (0.001)	-0.002 (0.002)	0.002 (0.001)	-0.002 (0.001)
GDP	0.173*** (0.012)	0.175*** (0.012)	0.000 (0.012)	0.180*** (0.013)	0.177*** (0.013)	-0.002 (0.012)	0.172*** (0.012)	0.174*** (0.012)	0.001 (0.012)	0.179*** (0.013)	0.176*** (0.013)	-0.002 (0.012)	0.182*** (0.013)	0.181*** (0.013)	0.000 (0.013)
Capital formation	-0.195*** (0.024)	-0.054** (0.024)	-0.024 (0.023)	-0.235*** (0.026)	-0.085*** (0.025)	-0.026 (0.025)	-0.192*** (0.024)	-0.050** (0.024)	-0.025 (0.023)	-0.230*** (0.026)	-0.079*** (0.025)	-0.026 (0.025)	-0.236*** (0.026)	-0.092*** (0.026)	-0.034 (0.025)
Inflation	0.189*** (0.016)	-0.287*** (0.016)	0.101*** (0.016)	0.302*** (0.017)	-0.114*** (0.017)	0.133*** (0.017)	0.191*** (0.016)	-0.284*** (0.016)	0.101*** (0.016)	0.305*** (0.017)	-0.110*** (0.017)	0.133*** (0.017)	0.305*** (0.018)	-0.112*** (0.017)	0.127*** (0.017)
Unemployment	-0.008 (0.024)	-0.850*** (0.024)	-0.222*** (0.023)	0.023 (0.029)	-0.771*** (0.028)	-0.161*** (0.027)	-0.004 (0.024)	-0.845*** (0.024)	-0.223*** (0.023)	0.028 (0.029)	-0.766*** (0.028)	-0.161*** (0.027)	0.027 (0.029)	-0.751*** (0.029)	-0.154*** (0.028)
Constant	72.592*** (1.553)	66.559*** (1.545)	52.076*** (1.495)	78.542*** (1.785)	83.049*** (1.764)	55.118*** (1.715)	72.534*** (1.554)	66.493*** (1.545)	52.091*** (1.495)	78.488*** (1.784)	82.986*** (1.764)	55.118*** (1.715)	79.239*** (1.822)	83.415*** (1.800)	54.182*** (1.747)
R-squared	0.011	0.031	0.005	0.023	0.032	0.004	0.011	0.032	0.005	0.023	0.033	0.004	0.024	0.033	0.004
Observations	57568	57568	57568	48998	48998	48998	57568	57568	57568	48998	48998	48998	47241	47241	47241
Number of firms	5815	5815	5815	5800	5800	5800	5815	5815	5815	5800	5800	5800	5516	5516	5516

Note: Standard errors in parentheses. * p < 0.1, ** p < 0.05, *** p < 0.01.

Robustness Checks

The robustness checks test the relationship on alternative assumptions, samples, or model variants. Varying these determines whether the results are robust to potential biases and model sensitivity. The robustness strategies are chosen in line with existing literature (2) and tailored to the context of this study.

ESG Leaders Only

To test whether firms with exceptionally strong *corporate ESG performance* respond differently to populist pressures, a robustness analysis is conducted on a subsample of firms classified as ESG leaders: those with ESG scores of 75.00 or higher, equivalent to LSEG Refinitiv's A- or higher rating. Firms in this group have often embedded ESG into its core strategy and may exhibit greater resilience to political or regulatory shocks. Prior studies suggest that such firms may engage in defensive CSR strategies, allowing them to resist external political pressure more effectively (Hartwell & Devinney, 2023).

Regression results for this subsample are presented in Table 8. In Model 2, *Right-wing populism* shows a statistically significant positive effect on *corporate ESG performance* among ESG leaders ($\beta = 1.134$, $p < .01$). This result remains robust in Model 4 including *left-wing populism* ($\beta = 1.134$, $p < .01$), suggesting a consistent pattern.

For *left-wing populism*, no significant effects are observed across models 3 through 5. This finding suggests that the previously identified positive relationship between *left-wing populism* and *corporate ESG performance* is concentrated among firms with average or lower ESG scores, rather than among top performers.

In Model 5, the moderating effect of *MNE* (0/1) is also not statistically significant in this subgroup, implying that foreign exposure does not influence how ESG leaders respond to populism in home-country governments.

TABLE 8
Regression Results – Leaders Only

DV: ESG performance	Model 1	Model 2	Model 3	Model 4	Model 5
Right-wing populism (L=3)		1.134*** (0.306)		1.134*** (0.307)	0.938*** (0.298)
Left-wing populism (L=0)			0.192 (0.590)	0.019 (0.599)	0.185 (0.833)
MNE × right-wing					0.715 (1.082)
MNE × left-wing					-0.253 (1.589)
Operating revenue (log)	-0.525 (0.454)	-0.132 (0.407)	-0.515 (0.454)	-0.131 (0.410)	-0.341 (0.532)
Total assets (log)	2.451*** (0.607)	1.669*** (0.614)	2.446*** (0.607)	1.668*** (0.615)	2.146*** (0.639)
ROE	-0.000 (0.002)	0.001 (0.002)	-0.000 (0.002)	0.001 (0.002)	-0.000 (0.002)
ROA	0.034* (0.021)	0.034* (0.020)	0.035* (0.021)	0.034* (0.020)	0.025 (0.020)
Profit before tax	-0.002 (0.021)	-0.005 (0.021)	-0.002 (0.021)	-0.005 (0.021)	0.015 (0.022)
Solvency ratio	0.000 (0.000)	-0.000 (0.000)	-0.000 (0.000)	-0.000 (0.000)	-0.000 (0.000)
FDI	-0.002 (0.002)	-0.002 (0.002)	-0.002 (0.002)	-0.002 (0.002)	-0.002 (0.002)
GDP	-0.011 (0.016)	-0.015 (0.016)	-0.011 (0.016)	-0.015 (0.016)	-0.011 (0.017)
Capital formation	0.049 (0.036)	0.052 (0.033)	0.050 (0.035)	0.053 (0.033)	0.043 (0.031)
Inflation	-0.001 (0.037)	-0.007 (0.040)	-0.001 (0.037)	-0.007 (0.041)	-0.005 (0.044)
Unemployment	-0.274*** (0.099)	-0.282** (0.114)	-0.268*** (0.093)	-0.282*** (0.108)	-0.244* (0.124)
Constant	35.103*** (13.344)	44.633*** (14.381)	34.889*** (13.281)	44.613*** (14.329)	38.511*** (14.426)
R-squared	0.070	0.065	0.070	0.065	0.065
Observations	2,538	2,257	2,538	2,257	2,081
Number of firms	446	439	446	439	414

Note: Standard errors in parentheses. * p < 0.1, ** p < 0.05, *** p < 0.01.

Pre- and Post-Paris Agreement

To test whether the institutional context introduced by the Paris Climate Agreement (2015) alters the relationship between *right-wing* or *left-wing populism* and *corporate ESG performance*, the dataset is divided into the pre- and post-agreement period: 2010–2015 (models 1 to 5) and 2016–2024 (models 6 to 10). This division follows prior research suggesting that the agreement

increased regulatory and stakeholder pressure on firms to engage in ESG practices (Bolognesi & Burchi, 2022; Ni & Sun, 2023). These results are presented in Table 9.

Model 2 illustrates that in the pre-agreement period, *right-wing populism* is negatively associated with *corporate ESG performance* ($\beta = -0.566$, $p < .01$), an effect that became slightly stronger when controlling for *left-wing populism* in Model 4 ($\beta = -0.643$, $p < .01$). *Left-wing populism* is not significant in this period. Interestingly, the interaction terms in Model 5 show a significant and negative moderating effect of *MNE (0/1)* for both *right-wing populism* ($\beta = -1.983$, $p < .05$) and *left-wing populism* ($\beta = -1.543$, $p < .01$), suggesting that MNEs were more vulnerable to populist influence before 2015.

Models 7 and 9 show that in the post-agreement period, the negative effect of *right-wing populism* on *corporate ESG performance* intensified ($\beta = -2.260$, $p < .01$; $\beta = -2.292$, $p < .01$), while *left-wing populism* remains statistically insignificant. In Model 10, the interaction between *MNE (0/1)* and *right-wing populism* is significantly positive in the post-agreement period ($\beta = 5.059$, $p < .01$), showing that the negative effect of *right-wing populism* among MNEs is weakened. The interaction effect with left-wing populism remains insignificant.

TABLE 9
Regression Results - Dependent Variable: ESG Score and before/ after 2015

DV: ESG performance	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8	Model 9	Model 10
	Before 2015					After 2015				
Right-wing (L=3)		-0.566*** (0.183)		-0.643*** (0.189)	-0.543*** (0.195)		-2.260*** (0.193)		-2.292*** (0.194)	-2.454*** (0.199)
Left-wing (L=0)			0.082 (0.182)	0.241 (0.244)	0.193 (0.251)			0.205 (0.317)	0.558* (0.314)	0.518 (0.322)
MNE × right-wing					-1.983** (0.988)					5.059*** (0.978)
MNE × left-wing					-1.543*** (0.491)					1.318 (2.026)
Operating revenue (log)	0.104*** (0.040)	0.049 (0.046)	0.104*** (0.040)	0.049 (0.045)	0.058 (0.052)	0.056 (0.074)	0.019 (0.073)	0.055 (0.074)	0.016 (0.073)	0.013 (0.080)
Total assets (log)	0.317*** (0.119)	0.042 (0.147)	0.317*** (0.119)	0.041 (0.148)	0.027 (0.156)	-1.356*** (0.156)	-1.213*** (0.154)	-1.359*** (0.156)	-1.218*** (0.154)	-1.203*** (0.160)
ROE	-0.001 (0.001)	0.000 (0.001)	-0.001 (0.001)	0.000 (0.001)	0.000 (0.001)	0.002* (0.001)	0.001 (0.001)	0.002* (0.001)	0.001 (0.001)	0.001 (0.001)
ROA	-0.005 (0.004)	-0.004 (0.004)	-0.005 (0.004)	-0.004 (0.004)	-0.006 (0.005)	-0.007 (0.005)	-0.005 (0.005)	-0.007 (0.005)	-0.005 (0.005)	-0.005 (0.005)
Profit before tax	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)	0.000 (0.000)
Solvency ratio	0.006 (0.004)	0.004 (0.005)	0.006 (0.004)	0.004 (0.005)	0.005 (0.005)	0.011* (0.006)	0.010* (0.006)	0.011* (0.006)	0.010* (0.006)	0.010* (0.006)
FDI	0.004 (0.003)	0.009*** (0.003)	0.004* (0.003)	0.010*** (0.003)	0.010*** (0.003)	-0.001 (0.001)	-0.001 (0.001)	-0.001 (0.001)	-0.001 (0.001)	-0.001 (0.001)
GDP	-0.179*** (0.034)	-0.010 (0.048)	-0.180*** (0.034)	-0.005 (0.050)	-0.012 (0.052)	0.126*** (0.008)	0.124*** (0.008)	0.126*** (0.008)	0.124*** (0.008)	0.127*** (0.008)
Capital formation	0.237*** (0.051)	0.074 (0.064)	0.237*** (0.051)	0.067 (0.064)	0.076 (0.065)	-0.209*** (0.024)	-0.168*** (0.024)	-0.208*** (0.024)	-0.164*** (0.025)	-0.169*** (0.025)
Inflation	-0.826*** (0.032)	-0.807*** (0.071)	-0.825*** (0.032)	-0.811*** (0.070)	-0.805*** (0.072)	0.098*** (0.016)	0.133*** (0.016)	0.098*** (0.016)	0.134*** (0.016)	0.131*** (0.016)
Unemployment	0.012 (0.033)	-0.215*** (0.057)	0.013 (0.033)	-0.205*** (0.060)	-0.209*** (0.062)	-0.135** (0.062)	-0.208*** (0.063)	-0.137** (0.062)	-0.215*** (0.063)	-0.211*** (0.063)
Constant	39.497*** (2.591)	51.091*** (3.212)	39.479*** (2.592)	51.134*** (3.211)	51.169*** (3.386)	81.539*** (2.945)	79.698*** (2.912)	81.577*** (2.942)	79.774** (2.909)	79.574*** (2.959)
R-squared	0.072	0.063	0.072	0.063	0.062	0.014	0.023	0.014	0.023	0.025
Observations	19379	10849	19379	10849	10396	38189	38149	38189	38149	36845
Number of firms	4108	4053	4108	4053	3863	5767	5762	5767	5762	5498

Note: Standard errors in parentheses. * p < 0.1, ** p < 0.05, *** p < 0.01.

Sensitive Industries

To assess whether the effect of populism is stronger in industries with high ESG materiality, a subsample analysis is conducted on industries known for their significant environmental and social impact, specifically energy, materials (e.g., mining and steel), food, beverage and tobacco, and biotechnology. These industries are identified based on ESG materiality classifications, which suggest that firms in these industries operate under heightened institutional and stakeholder examination (Garcia et al., 2017).

Regression results for this subsample are presented in Table 10. Models 2 and 4 show that *right-wing populism* is negatively and significantly associated with *corporate ESG performance*

in ESG-sensitive industries ($\beta = -0.919$, $p < .05$; $\beta = -0.965$, $p < .05$). Compared to the full-sample results, the size of the negative effect is smaller. The interaction term with MNE (0/1) remains insignificant. *Left-wing populism* remains statistically insignificant across all models in these industries, consistent with earlier results. However, it is associated with significantly lower *corporate ESG performance* for MNEs ($\beta = -1.998$, $p < .01$) compared to domestic firms.

TABLE 10
Regression Results - Dependent Variable: Sensitive Industries

DV: ESG performance	Model 1	Model 2	Model 3	Model 4	Model 5
Right-wing (L=3)		-0.919** (0.417)		-0.965** (0.420)	-1.052** (0.432)
Left-wing (L=0)			0.609 (0.512)	0.813 (0.561)	0.845 (0.574)
MNE $\times$ right-wing					2.295 (1.858)
MNE $\times$ left-wing					-1.998*** (0.686)
Operating revenue (log)	0.115 (0.110)	0.0948 (0.117)	0.111 (0.111)	0.0917 (0.118)	0.129 (0.124)
Total assets (log)	-0.387 (0.302)	-0.802** (0.332)	-0.392 (0.302)	-0.812** (0.331)	-0.849** (0.345)
ROE	0.000722 (0.00193)	0.00114 (0.00200)	0.000708 (0.00193)	0.00112 (0.00200)	0.00150 (0.00214)
ROA	0.00923 (0.0102)	0.00558 (0.0112)	0.00925 (0.0102)	0.00562 (0.0113)	0.00576 (0.0115)
Profit before tax	-0.00643 (0.00922)	-0.00228 (0.00950)	-0.00637 (0.00923)	-0.00212 (0.00950)	-0.00320 (0.0101)
Solvency ratio	0 (0)	0 (0)	0 (0)	0 (0)	0 (0)
FDI	-0.00380** (0.00165)	-0.00197 (0.00155)	-0.00395** (0.00164)	-0.00193 (0.00155)	-0.00194 (0.00156)
GDP	0.107*** (0.0187)	0.0933*** (0.0187)	0.106*** (0.0188)	0.0924*** (0.0187)	0.0955*** (0.0194)
Capital formation	-0.0333 (0.0589)	-0.0594 (0.0458)	-0.0288 (0.0587)	-0.0532 (0.0459)	-0.0584 (0.0484)
Inflation	8.70e-05 (0.0363)	0.0937** (0.0382)	0.00568 (0.0360)	0.102*** (0.0377)	0.0982** (0.0380)
Unemployment	-0.383*** (0.0785)	-0.284*** (0.0865)	-0.376*** (0.0766)	-0.278*** (0.0849)	-0.276*** (0.0865)
Constant	63.40*** (6.064)	72.09*** (6.541)	63.37*** (6.065)	72.09*** (6.542)	72.34*** (6.786)
R-squared	0.014	0.012	0.015	0.013	0.013
Observations	10,845	9,112	10,845	9,112	8,856
Number of firms	1,108	1,102	1,108	1,102	1,036

Note: Standard errors in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

DISCUSSION

The results show that populism in a firm's home-country government influences corporate ESG performance in European public firms. This effect varies by populism type and whether the firm is an MNE or not. Right-wing populism negatively impacts corporate ESG performance, particularly for domestically operating firms, with a weakened effect for MNEs. In contrast, left-wing populism is associated with better corporate ESG performance, especially for MNEs.

Theoretical Implications

These findings confirm existing literature by demonstrating that corporate ESG performance is negatively affected by right-wing populism of their home-country governments (Hartwell & Devinney, 2023; Rodrik, 2018; Böhmelt, 2021). Firms operating under right-wing populist governments experience institutional pressures that reduce their engagement in the environmental and social pillar (Böhmelt, 2021). These governments often reject the underlying pluralistic and long-term principles of corporate ESG performance, such as sustainability and social minority rights, that are products of the elites (Mudde, 2004; Rodrik, 2018). Similarly, the findings that left-wing populism has a positive influence on corporate ESG performance, particularly on environmental and social pillars, reinforces the argument that certain left-populist parties put pressure on social justice, economic equality and sustainability commitments for firms (Rodrik, 2018; Chazel & Dain, 2023). In this way, the analysis supports the idea that populism is not uniform, rather the ideological orientation of populism shapes the direction of its influence on corporate sustainability practices.

Moreover, the findings for the moderating effect indicate that the negative effect of right-wing populism on corporate ESG performance is weakened for MNEs, whereas the positive effect of left-wing populism is amplified. The literature suggests that MNEs operating across multiple institutional environments adopt higher standards and built resilience to political shifts in the home-country, such as the emergence of populism, to retain legitimacy in diverse institutional contexts (Kostova & Zaheer, 1999; Brammer et al., 2006).

This aligns with institutional theory, which posits that firms seek legitimacy by conforming to the expectations of their institutional environments (DiMaggio & Powell, 1983). The theory also describes how large, diversified conglomerate firms enforce internal homogeneity within their structure, even when specific performance criteria are not directly determined.

Moreover, in terms of legitimacy towards stakeholders, the stakeholder theory describes that firms are embedded in a web of relationships with diverse stakeholder groups and must balance competing demands to maintain legitimacy and performance (Freeman, 1984). Under populist governments hostile to corporate ESG, firms may be pressured to prioritise national stakeholders over others. For example, right-wing populist governments may favour the interests of traditionalists while reducing the concerns of minority groups or environmental supporters. While MNEs are better positioned to uphold its ESG commitments due to its vast variety of stakeholders, domestically oriented firms appear more vulnerable to these political pressures.

In addition, MNEs may be better equipped to maintain commitments to corporate ESG under right-wing populism, which typically challenge ESG principles by framing them as elite-driven or ideologically foreign. However, the moderating effect under left-wing populism is also present, but notably weaker. One possible explanation is that left-wing populism often view large MNEs as contributors to domestic inequality, for instance, through unbalanced capital distribution in society (Rodrik, 2018). The counteract towards MNEs may weaken their influence and interaction with corporate ESG performance (Hartwell & Devinney, 2023).

While the main regression results broadly support existing literature, the robustness checks also show several new contributions to the literature. The examination of the pre- and post-Paris Agreement periods showed that global sustainability efforts may amplify weight on the value corporate ESG performance, which is also suggested by existing literature (Ni & Sun, 2023). Thirdly, the findings show that firm-level and industry-level differences matter and are consistent with existing literature. Leaders in ESG performance are more resilient to political shifts (Lins et al., 2017; Pastor et al., 2020), and ESG-sensitive industries experience weakened effects compared to the main regression model (Garcia et al., 2017).

This study also challenges the existing literature, which suggests that populism uniformly undermines corporate sustainability performance. Most notably, Hartwell and Devinney (2023) conceptualize populism along an anti-business and pro-business varieties, rather than an ideological one, and find that anti-business populism negatively affects CSR performance. Since anti-business populism shares characteristics with left-wing populism, this would suggest that firms operating under left-wing populist governments might reduce their corporate ESG efforts. However, the findings of this study contradict that expectation. Using a broader ideological framework that distinguishes right-wing from left-wing populism, this study finds that left-wing

populism is associated with a significant positive effect on corporate ESG performance. The ideological distinction used in this study allows for greater generalisability across contexts.

Furthermore, existing literature argues that populism undermines traditional corporate influence strategies, leading firms to adopt risk-averse responses such as implicit loyalty or soft lobbying (Feldmann & Morgan, 2021). However, this study challenges this by suggesting that MNEs are not merely constrained by populist regimes but can strategically moderate their effects on sustainability practices. The interaction models reveal that MNEs significantly mitigate the negative impact of right-wing populism on corporate ESG performance and amplify the positive effects of left-wing populism, particularly in the environmental and social pillars. These findings support prior work on institutional complexity, which posits that MNEs face competing pressures from multiple institutional contexts by adopting more universal ESG standards (Kostova & Zaheer, 1999; Donaldson, 1996).

Managerial Implications

The findings of this study offer actionable insights for corporate decision-makers, particularly managers of MNEs and domestic firms operating in populist environments. Firms, especially the ones operating nationally, are advised to be aware of the potential negative impact of right-wing populist governments on their environmental and social initiatives. For the environmental and social pillars, managers should proactively strengthen specific ESG subthemes to mitigate potential negative impacts from populist policies. For the environmental pillar, specifically, this could be improvements in CO2 emissions, waste-management, biodiversity contributions, product innovation, green R&D, water use, energy use, sustainable packaging, and sustainable supply chain (3). For the social pillar this could be improvements in supporting with communities, human rights, responsible marketing, product quality, data privacy, diversity, inclusion, career development, working condition, and safety (3).

Retaining a higher corporate ESG performance through these subthemes, such as leaders, by incorporating ESG in the core strategy of the firm seems to provide a safeguard against populist pressures. Higher corporate ESG performance isn't only related to better financial performance (Heinkel et al., 2001; El Ghoul, 2016), but also as strategic armour in uncertain times or crises (Lins et al., 2017; Albuquerque et al., 2020; Gianfrate et al., 2024). MNEs could strategically use their international experience due to high exposure to several institutional pressures for developing

a comprehensive international strategy that is also able to withstand populist agendas. MNEs are able to mitigate right-wing populist pressures and take advantage of left-wing populist pressures to truly yield from the situation by managing global standards and anticipating international stakeholder pressures (Brammer et al., 2006).

There are multiple approaches to anticipate these stakeholder pressures. MNEs have the privilege of mobility compared to domestic firms. Whereas an 'exit' strategy could be a considerable option to protect its legitimacy and leave to market under populist conditions by divesting (Feldmann & Morgan, 2021). However, this option is rather costly since it requires adjusting the whole supply chain and the feasibility is determined by the dependence of the populist country's market. When there's little possibility of an exit, because the MNE is, for example, too dependent on the country, the 'soft voice' strategy might be an option (Feldmann & Morgan, 2021). For example, during the Brexit, when a firm wrote a formal letter to the British government to encourage populist governments to pursue business friendly policies to their agenda. Another way for domestic or smaller firms is through collective voice. However, the feasibility of this depends on the industry.

And finally, there's 'implicit loyalty' which is the willingness to tolerate the populist agenda (Feldmann & Morgan, 2021). It avoids any statements of support and basically keeps a neutral stance. This strategy is the most practiced among firms when populists are in power. On national level it might isolate firms from populist pressure, however, investors who are looking for ESG leaders might divest if the firm's ESG performance drops. Which in turn results in higher cost of capital for these firms, due to a smaller investor base and higher risks (Heinkel et al., 2001; El Ghoul, 2016). Besides, with this strategy, manipulation of the populist agenda is not possible, only compliance.

Beside implications for manager, for policy-makers the populist rhetoric, especially right-wing, can also have direct negative consequences for the realisation of national and international sustainability goals, or SDGs, that are set for 2030. Trump, for instance, announced its withdrawal from the Paris Agreement. Corporate ESG, for example, has great effects on the progress of these goals (Kroll & Zipperer, 2020). In addition, stakeholders face heightened political uncertainty when populism is present in governments, as populism increases systemic risks to economic and societal development, sustainability, liberal democracy, and fundamental social rights (Moffitt, 2014). Hereby, populism not only provokes crises, but also tends to dramatise rather than

proactively anticipate to it. Furthermore, as ESG performance is indicative of investing risks, investors may withdraw their investments from firms whose ESG scores decline, given that research demonstrates lower-ESG firms tend to be less resilient during crises (Lins et al., 2017; Albuquerque et al., 2020; Gianfrate et al., 2024). Besides, green investors might also divest due to their best-in-class screening, resulting in higher cost of capital for the firm (Heinkel et al., 2001).

Given these findings, collective resistance by managers, policymakers, investors, and other stakeholders is essential to mitigate the negative impacts of right-wing populism on corporate and global sustainability.

Limitations and Future Research

Despite the theoretical practical contributions of this study, there are also limitations that must be acknowledged. First of all, this study focuses exclusively on European public firms. This may limit the generalisability of the findings for private firms and non-European contexts. Varieties of populism and ESG standards vary widely from country to country and therefore the effect may be different outside Europe. Previous research also lacked countries like the United States and China due to the complexity of the countries (Hartwell & Devinney, 2023). Future research could expand the scope and analyse these two countries. However, BRICS or ASEAN countries could also be interesting for further research.

Second, although this study already disaggregates the ESG pillars for a more practical view, to these pillars also belong metrics and data points. For example, resource use, water use, transparency of CSR strategies, human rights. The exact effects of right and left-wing populism on these specific metrics can still be expanded for an even more detailed approach to populist effects. This can be done through LSEG Refinitiv, for example.

Third, measuring with a dummy variable for populist party in the coalition measures presence but not intensity. This binary way of measuring overlooks nuanced forms of populism, if they had less effect. However, the way of doing politics often involves 'noisy politics,' which suggests that the intensity level is always rather high (Feldmann & Morgen, 2022). Nevertheless, future research could add continuous indicators to the current dummy variables. This would factor the intensity of populism into the results. In addition, future research could also include qualitative research on how firms actually experienced the influence of populist presence in corporate decision making.

Fourth, this study has attempted to identify populism in relation to corporate ESG performance and tried to make clear how crises are related to the relationship. Populism emerges from crisis and awakens crisis (Moffitt, 2014). In addition, higher corporate ESG performance creates resilience during crises. Although this research contributes to the literature, it might also be interesting for future research to investigate how crises are related to ESG where populism plays as a positive or negative moderating factor.

Fifth, an industry-year mean imputation is performed for this study to fill the missing ESG scores. This technique can ensure artificial convergence where variation in the data is reduced. While this preserves sample size and removes selection bias, it also assumes that all firms within an industry and year experienced the same ESG performance. For future research, it is therefore important to explore more sophisticated ways of imputation.

Finally, further research could be conducted for the effectiveness of firms' different strategic responses to the different types of populism, according to Feldmann and Morgen's (2021) typology. Investigating when firms choose an exit, soft voice or implicit loyalty strategy, what the counter-response is from populist governments and what outcomes this offers in terms of financial, reputation and legitimacy for firms in the long run.

CONCLUSION

This study contributes to IB literature by revealing that the ideological orientation of populism within European governments significantly shapes corporate ESG performance. Right-wing populism in a firm's home-country government negatively impacts corporate ESG performance, particularly in the environmental and social pillars, while the governance pillar remains unaffected. In contrast, the presence of left-wing populism in the government shows a slightly weaker, but still significant and positive short-term effect. This is also concentrated in the environmental and social pillars, with no significant impact on governance. The interaction of the relationship with MNEs moderate these effects, whereas the negative impact of right-wing populism is weakened and the positive influence of left-wing populism is amplified for MNEs. The findings highlight that MNEs adopt universally accepted ESG standards that are more resilient against populist pressures in the home-country. Beyond resilience, a relevant strategic response to populism for MNEs may include 'exit' through divestment when right-wing populist agendas severely undermine the MNE's ESG legitimacy. Although, this option is costly, especially for

domestic firms, and the reputational risks must outweigh the benefits of the domestic market. For domestic firms with limited mobility, a more feasible response to preserve ESG legitimacy is through a ‘soft voice’ strategy, quietly aligning with stakeholder expectations without openly confronting populist agendas nor adjusting their corporate ESG commitments. The latter because, findings underscore corporate ESG performance as a critical factor for firms' resilience during economic and political crises. However, right-wing populism threatens this resilience by undermining firms' ESG commitments, thus exposing them to greater vulnerability in future crises.

NOTES

(1) Multicollinearity is also tested in the model of Kim et al. (2023) where the mean Variable Indication was at 1.36.

(2) The way to check the robustness of: different ESG pillars (Hasan & Jiang, 2022); high ESG scores check (Xiao & Shen, 2022); Paris climate agreement (2015) (Gu et al., 2018), but with the trend that before 2003 there was a different regime and policy; and sectoral differences (Zhang, Meng, Zhang, 2023), but only with industrial sectors because they are sensitive to subsidy.

(3) LSEG Refinitiv publishes on its website the exact methodology for the ESG performance including the pillars. The scores are known in so-called 'letter rating' from D-, laggard, up to A+, leader.

https://www.lseg.com/content/dam/data-analytics/en_us/documents/methodology/lseg-esg-scores-methodology.pdf

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APPENDIX

Appendix 1: Lag structure check

ESG score	Coef.	St.Error	t-value	p-value	[95% Conf.]	Interval]
Right-wing populism	.386	.146	2.65	.008	.1	.672
L1	-.019	.169	-0.11	.912	-.35	.313
L2	-.134	.172	-0.78	.435	-.47	.202
L3	-1.642	.153	-10.70	0	-1.943	-1.341
Left-wing populism	.749	.248	3.03	.002	.264	1.235
L1	-.362	.277	-1.30	.193	-.905	.182
L2	.126	.272	0.47	.642	-.406	.659
L3	-.221	.255	-0.87	.385	-.72	.278
Operating revenue (log)	-.041	.056	-0.73	.462	-.152	.069
Total assets (log)	-.817	.085	-9.65	0	-.982	-.651
ROE	.001	.001	0.80	.421	-.001	.003
Solvency ratio	.005	.003	1.45	.147	-.002	.012
ROA	-.005	.004	-1.17	.24	-.013	.003
Profit before tax	0	0	3.12	.002	0	0
FDI	0	.001	-0.36	.716	-.003	.002
GDP	.12	.011	10.95	0	.098	.141
Capital formation	-.121	.021	-5.69	0	-.162	-.079
Inflation	.083	.015	5.67	0	.054	.111
Unemployment	-.345	.025	-13.80	0	-.395	-.296
Constant	73.2	1.462	50.06	0	70.334	76.066
Mean dependent var	52.377		SD dependent var		11.943	
R-squared	0.018		Number of obs.		48998	
F-test	42.069		Prob > F		0.000	
Akaike crit. (AIC)	330465.696		Bayesian crit. (BIC)		330632.887	

*** $p < .01$, ** $p < .05$, * $p < .1$

Appendix 2: ESG scores with different imputations

Year	Drop missing values	Regression	Industry
2010	51.262	51.262	48.914
2011	51.736	51.736	49.771
2012	52.153	52.153	50.370
2013	52.556	52.556	50.839
2014	52.986	52.986	51.597
2015	53.258	53.258	52.705
2016	54.691	54.691	54.424
2017	55.469	55.469	55.305
2018	52.570	52.570	51.752
2019	52.365	52.365	51.855
2020	49.583	49.583	49.222
2021	50.594	50.594	50.372
2022	52.128	52.128	51.939
2023	53.134	53.134	52.970
2024	49.671	49.671	50.121

Appendix 3: List with abbreviations and party names

Abbreviation	Full Name	Country	Orientation
FPÖ	Freedom Party of Austria	Austria	Right-wing populist
Ataka	Attack (Атака)	Bulgaria	Right-wing populist, nationalist
NFSB	National Front for the Salvation of Bulgaria	Bulgaria	Right-wing populist
AKEL	Progressive Party of Working People	Cyprus	Left-wing populist
ANO	Action of Dissatisfied Citizens	Czech Republic	Centrist-populist
DF (cs)	Democratic Front (<i>confidence and supply</i>)	Montenegro	Nationalist-populist
EL (cs)	Greek Solution (<i>confidence and supply</i>)	Greece	Right-wing populist
EKRE	Conservative People's Party of Estonia	Estonia	Right-wing populist
PS	Finns Party (Perussuomalaiset)	Finland	Right-wing populist
LAOS	Popular Orthodox Rally	Greece	Nationalist, right-wing populist
Syriza	Coalition of the Radical Left	Greece	Left-wing populist
ANEL	Independent Greeks	Greece	Right-wing populist
Fidesz	Fidesz – Hungarian Civic Alliance	Hungary	Right-wing populist, conservative

LN	Lega Nord (now Lega)	Italy	Right-wing populist
M5S	Five Star Movement	Italy	Populist (ideologically fluid)
Lega	Lega (rebranded Lega Nord)	Italy	Right-wing populist
FdI	Brothers of Italy	Italy	Right-wing nationalist, populist
NA	National Alliance (Nacionālā apvienība)	Latvia	Right-wing nationalist
KPV	Who Owns the State? (Kam Pieder Valsts?)	Latvia	Populist (now defunct)
DP	Homeland Movement (Domovinski Pokret)	Croatia	Right-wing populist
TT	Tomislav Tomašević – Platform Možemo!	Croatia	Left-progressive (not populist)
SGP (cs)	Reformed Political Party (<i>confidence and supply</i>)	Netherlands	Orthodox-conservative (not populist)
PVV	Party for Freedom	Netherlands	Right-wing populist
FRP	Progress Party (Fremskrittspartiet)	Norway	Right-wing populist
PiS	Law and Justice (Prawo i Sprawiedliwość)	Poland	Right-wing populist, conservative
PCP (cs)	Portuguese Communist Party (<i>confidence and supply</i>)	Portugal	Left-wing

Chega	Chega	Portugal	Right-wing populist
PDSR	Party of Social Democracy in Romania	Romania	Left-wing populist (1990s context)
Smer	Direction – Social Democracy	Slovakia	Left-wing populist with nationalist elements
SNS (SK)	Slovak National Party	Slovakia	Right-wing nationalist
SR	We Are Family (Sme Rodina)	Slovakia	Populist, right-leaning
Hlas	Voice – Social Democracy	Slovakia	Centre-left, sometimes populist
SDS	Slovenian Democratic Party	Slovenia	Centre-right with populist elements
SNS (SI)	Slovenian National Party	Slovenia	Right-wing populist, nationalist
Levica	The Left	Slovenia	Left-wing populist
Sumar	Sumar	Spain	Left-progressive (not populist)
PCE	Communist Party of Spain	Spain	Left-wing
Podemos	Podemos	Spain	Left-wing populist
SD (cs)	Sweden Democrats (<i>confidence and supply</i>)	Sweden	Right-wing populist
SVP	Swiss People's Party	Switzerland	Right-wing populist

DUP (cs)	Democratic Unionist Party <i>(confidence and supply)</i>	United Kingdom (Northern Ireland)	Conservative, nationalist, sometimes populist
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Appendix 4: Multicollinearity check

	VIF	1/VIF
Right-wing populism	1.196	.836
Left-wing populism	1.107	.903
Operating revenue (log)	4.255	.235
Total assets (log)	3.868	.259
ROE	1.766	.566
Solvency ratio	1.311	.763
ROA	1.9	.526
Profit before tax	1.098	.911
FDI	1.034	.967
GDP	2.97	.337
Capital formation	1.183	.846
Inflation	4.447	.225
Unemployment	1.444	.692
2011.year	2.019	.495
2012.year	2.116	.473
2013.year	2.199	.455
2014.year	2.286	.438
2015.year	2.464	.406
2016.year	2.491	.402
2017.year	2.504	.399
2018.year	2.606	.384
2019.year	2.696	.371
2020.year	3.988	.251
2021.year	3.109	.322
2022.year	4.594	.218
2023.year	3.752	.267
Mean VIF	2.477	.